CONTRACT OF LEASE

KNOW ALL MEN BY THESE PRESENTS:

This Contract of Lease ("Contract") is made and entered into by and between:

Brittany Corporation, a corporation duly organized and existing under and by virtue of the laws of the Republic of the Philippines, with office address at LGF Bldg B. Evia Lifestyle Center Vista, Daang Hari Almanza Dos Las Pinas City , represented herein by its Chief Accountant,Reymart Rodger M. Nerizon and its Mall Head, Dexter Perdon (hereinafter referred to as the "**LESSOR**");

-and-

Mary Grace Foods Inc. (Cafe Mary Grace), a corporation duly organized and existing under and by virtue of the laws of the Republic of the Philippines, with office address at GFL-03 &GF Daang Hari Rd. Almanza Dos Evia Lifestyle Center, Las Pinas City, represented herein by its Director, Adrian Dimacali (hereinafter referred to as the "**LESSEE**").

WITNESSETH: That -

WHEREAS, the LESSOR is the owner and operator of a commercial establishment known as "Evia Lifestyle Center" located at , Daang Hari Road, Tindig na Mangga, Brgy. Alamanza II, Las Piñas City (hereinafter referred to as the "Mall");

WHEREAS, the LESSEE desires to lease, and the LESSOR has agreed to grant the LESSEE a lease, on a certain area in the Mall subject to the terms and conditions of this Contract;

NOW THEREFORE, the parties agree as follows:

Section 1
LEASE OF SPACE

1.1 For and in consideration of the payment of Rent and of the faithful compliance with all the terms, provisions, conditions and covenants hereinafter contained, the LESSOR hereby leases unto the LESSEE, and the LESSEE hereby accepts in lease, a commercial space in the Mall more particularly described in Schedule 1 hereof ("Leased Premises"). The LESSOR shall deliver to the LESSEE the Leased Premises on the Turnover Date specified in Schedule 1.

Section 2
TERM OF LEASE

2.1 This Contract shall have the term commencing on the Lease Commencement Date and expiring on the Lease Expiry Date as specified in Schedule 1 hereof, renewable for a similar period under such terms and conditions as may be mutually agreed upon by the parties. The LESSEE shall initiate negotiations for the renewal or for the non-renewal of this Contract by giving the LESSOR a written notice of its intent to renew or not to renew no later than thirty (30) days prior to the Lease Expiry Date. If the LESSEE fails to give such notice to renew or having done so, the parties fail to agree on the terms and conditions of the renewal of the lease prior to the Lease Expiry Date, or if the LESSEE timely notifies the LESSOR of its intention not to renew, this Contract shall be deemed terminated at the Lease Expiry Date and the LESSEE shall be required to surrender the Leased Premises to the LESSOR in accordance with the provisions of Section 15 hereof.

2.2 If this Contract is not renewed in writing by the parties hereto upon expiration of the Lease Term and the LESSEE continues to occupy the Leased Premises at the mere tolerance of the LESSOR, this Lease shall be understood to continue on a month-to-month basis only, subject to the same terms and conditions herein stipulated.

Should the LESSEE remain in possession of the Leased Premises after the expiration or termination of this Contract without the permission or authority from the LESSOR or against the demand of the LESSOR, such continued and unauthorized possession shall not be deemed or considered as a renewal or extension of this Contract.

2.3 If the LESSEE is an authorized franchise holder carrying the business under a trade name, the LESSEE shall provide the LESSOR with a copy of the franchise agreement or submit a Certification issued by the Franchisor as to the existence and validity of the franchise agreement. It is understood that the grant of the franchise is, among others, a reason for this grant of lease. The termination or cancellation of thefranchise for any reasons whatsoever shall entitle the LESSOR, at its sole discretion, to automatically terminate this Contract, without prejudice to other rights of the LESSOR under this Contract.

2.4 The LESSEE acknowledges and agrees that the LESSOR may undertake redevelopment plans at any time, provided, that in the event of any such redevelopment, the LESSOR shall provide the LESSEE an alternative relocation site within the Mall. In the event the relocation site is not acceptable to the LESSEE this Contract shall be considered terminated. The LESSEE acknowledges and agrees that the matter of the site of the relocation shall be at the sole discretion of the LESSOR.

2.5 No disturbance or interruptions in the physical possession of the Leased Premises or temporary stoppage in the business operation of the LESSEE on account of fire, earthquake, typhoon, flood, riots, civil disorder, war, blackouts, power failure, labor unrest or any other fortuitous events shall interrupt, extend or change the term of this lease nor nullify the rights and obligations of the parties hereof.

2.6 In case, however, there is substantial or total damage to the Mall by reason of any of the aforementioned causes not attributable to the fault or negligence of the parties herein, rendering the Leased Premises unfit for use, and the LESSOR decides to reconstruct the damage in accordance with the Repair and Maintenance Provision, then the term of this lease, upon mutual agreement of the parties, shall be extended for the period equivalent to the time during which the use of the Leased Premises is interrupted by reason of said reconstruction.

Section 3
RENT, TAXES & OTHER CHARGES

3.1 Rent - In consideration for the use and occupancy of the Leased Premises, the LESSEE shall pay the LESSOR the amount of rent set out in Schedule 1 ("Amount of Rent") on the 25th day of each month. The Amount of Rent shall increase yearly at the escalation rate set out in Schedule 1 ("Escalation") based on the monthly rental of the immediately preceding year.

In case the whole or part of the Rent is based on a percentage of Gross Sales ("Percentage Rent"), the following provisions shall apply:

3.1.1 The term "Gross Sales" shall mean the total amount of all sales and other revenues from all businesses conducted in, upon or from the Leased Premises, by the LESSEE or any of its employees or agents, whether such sales and revenues be effected by or through cash, check, credit card, charge account, barter, exchange or otherwise, and without regard to whether or not collection is made of the amounts for which credit was given, and shall include, without limitation, the total gross amounts received or accrued for the sale of food, beverages, goods, wares, and merchandise, the total amounts received or accrued for services performed in, at or from the Leased Premises, for equipment and other rentals, including sublease rentals if LESSEE is allowed to sublease the Leased Premises or a portion thereof, and the amounts of all fees and similar payments received or accrued from the business conducted in, upon or from the Leased Premises, together with the amounts of gift certificates tendered or used to pay for merchandise sold in the Leased Premises. Any transactionon installment basis involving the extension of credit or deferral of payment, such as, but not limited to "lay away" sales and conditional sales, shall be treated as a sale for the full price reckoned at the time the merchandise is invoiced to the customer.

If any one or more departments or other divisions of LESSEE's business should be conducted by any person, firm or corporation other than LESSEE, then there shall be included within the term Gross Sales all of the gross sales of such departments or divisions, in the same manner and with the same effect as if the business or sales of such departments and divisions of LESSEE's business had been conducted by LESSEE itself. Gross Sales shall further include any sales of any product or service by any employee or agent if LESSEE at the Leased Premises. Included in the term Gross Sales are sales of any "outside" or traveling salesman of LESSEE, when such sales person are supervised by or must report their activities and sales to LESSEE or any employee of LESSEE at the Leased Premises. Gross sales shall not be reduced by any fee, service charge or discount paid to any of LESSEEs credit card or other credit extending agency. There shall be no adjustment to the Gross Sales for any cash shortages.

3.1.2 LESSEE may, however, deduct from Gross Sales the lesser of the price of or credit allowed in lieu of merchandise returned by customers for exchange or reimbursement; Provided, that the amount thereof is billed separately from the selling price and is actually paid by LESSEE to government authority; Provided further, that the amount of value-added or similar tax, whether or not billed to the customer as a separate item, and allowed by the proper government authority(ies) as a deduction or exclusion from gross sales shall likewise be allowed as a deduction or exclusion from Gross Sales. LESSEE's accounting to LESSOR as required in this Section hereof shall specifically set forth the amount of any such tax or such fees, service charges or discounts, as well as the nature thereof.

3.1.3 All transactions of Lessee must be covered by appropriate sales invoices bearing the name of the LESSEE's branch or outlet and registered in an accepted recording machine. Such recording machine shall contain locked-in cumulative tapes with cumulation capacity satisfactory to the LESSOR. The cash register tapes and all supporting invoices and documentation shall be preserved for examination by auditors of the LESSOR.

3.1.4 LESSEE agrees to pay immediately upon demand any and all assessments arising from LESSOR's examination of LESSEE's records. In cases where an audit discloses an understatement of the Gross Sales by FIVE PERCENT (5%) or more, LESSEE shall forfeit its right to avail itself of discounted rates (when applicable) and shall pay the additional rental immediately upon demand with interest at the rate of FIVE PERCENT (5%) from the date such rental becomes due until full payment. Gross, repeated and continuous understatement of Gross Sales shall entitle LESSOR to extrajudicially terminate or cancel this Contract after giving LESSEE written notice thereof thirty (30) days prior to the effective date of termination, at the option of the LESSOR, without prejudice to the exercise by LESSOR of any other right or remedy it might have at law or equity.

3.1.5 LESSEE shall maintain books of accounts and other business records and preserve the same for purposes of audit. In this regard, LESSEE shall coordinate with LESSOR's Audit Department in order to setup a compatible accounting system. In case LESSEE has other branches, LESSEE shall keep separate records of its sales derived from the Leased Premises such as receipts and other books of accounts.

3.1.6 LESSEE shall keep all sales invoices, sales summaries, official receipts cash register tapes, books of accounts such as, but not limited to, the general ledger, cash register books and sales books, supporting papers and other business records LESSOR may deem reasonably necessary to determine LESSEE's Gross Sales. All such records shall be preserved for a period of five (5) years. LESSEE shall faithfully and accurately record all transactions.

3.1.7 Any willful misrepresentation or dishonesty in the invoicing or registering in the cash register of any transaction by LESSEE's agent or employee shall be a ground for extrajudicial termination or cancellation of this Contract. LESSEE hereby expressly authorizes LESSOR or its authorized representative to conduct at any time an audit of all such records of LESSEE's transactions in order that the LESSOR may monitor LESSEE's compliance with its obligations under this Section.

3.1.8 On the sixteenth (16th) day of each month, beginning on the first month of store operations, LESSEE shall furnish and deliver to LESSOR in writing a statement certified by LESSEE or its authorized agent setting forth Gross Sales made by LESSEE in, upon or from the Leased Premises from the 16th day of the preceding month to the 15th day of the current month. The LESSOR shall bill the LESSEE every 18th of the month a percentage of this Gross Sales or the Minimum Guaranteed Rent, if applicable, whichever is higher, as stated in Schedule 1. The LESSEE shall then pay the LESSOR the amount of Rent on the 25th of the same month.

In addition, within thirty (30) days after the end of each calendar year, LESSEE shall furnish LESSOR a statement certified by LESSEE or its agent, setting forth the Gross Sales for the year itemized in months, made in, upon or from the Leased Premises during the preceding year. LESSEE's failure to provide any and all required accounting statements shall be a material breach of Contract and shall entitle LESSOR to to extrajudicially terminate this Contract, in addition to any other right or remedy which LESSOR might have at law or equity.

3.2 CUSA & AIRCON Charges - In addition to the Rent, the LESSEE shall pay the LESSOR on the same date the Rent is due its share of the cost and expenses for the maintenance and administration of the Common Areas (as defined under Section 10) at the rate specified in Schedule 1 ("Common Areas, Utilities, Security and Administrative [CUSA] Charges"). The LESSOR reserves the right to increase the CUSA Charges should there be a corresponding increase in the cost and expenses for the maintenance and administration of the Common Areas or upon the effectivity of government mandated manpower wages for janitorial, security, and administration personnel, with the increase in rate proportionate thereto.

The LESSEE shall likewise pay its share in the cost and provision of the centralized air-conditioning service of the Mall at the rate specified in Schedule 1 ("AIRCON Charges"). The monthly AIRCON Charges shall be subject to periodic review by the LESSOR and may be increased from time to time to cover any increase in the cost of providing the air-conditioning service, including, but not limited to, the cost of maintenance, staff, replacement parts, depreciation or a corresponding increase in the rates of electric/power supply.

3.3 VALUE ADDED TAX (VAT) - The LESSEE agrees to pay the LESSOR an additional amount equivalent to the applicable Value Added Tax (VAT) or other similar taxes that the Government may impose in the future. The LESSEE shall withhold the applicable withholding tax on all rental payments and remit the same to the Bureau of Internal Revenue within the time prescribed by law.

The Documentary Stamp Tax due on this lease shall be for the account of the LESSEE.

The LESSEE shall furnish the LESSOR with proof of remittance of the aforesaid taxes as soon as a copy thereof is available.

3.4 The LESSEE shall pay the LESSOR the Rent and all other amounts payable hereunder on its respective due dates without necessity of demand. All other charges which were not anticipated or the exact amounts of which could not be determined at the time of the signing of this Contract shall be payable on the same date the Rent is due. The LESSEE shall make the payment at the address of the LESSOR indicated in this Contract.

3.5 Without prejudice to any other remedy that the LESSOR may have under this Contract or the law, in the event that the LESSEE shall fail to timely pay the Rent or any other amount payable under this Contract, the LESSEE shall pay penalty of five (5%) percent per month on the amount due. The penalty shall be capitalized monthly and shall be charged at the same rate of 5% per month until fully paid, with a fraction of a month considered as one (1) month.

3.6 The LESSOR will adopt an electronic recording and/or processing system to monitor the sales and operations of the tenants in the Mall, and the LESSEE agrees that it shall use or install in its Leased Premises such necessary cash registers with communication capability and other equipment as may be required by the LESSOR to be connected to the system, and that it shall adopt such recording documentation methods and procedures as shall be compatible with such system. It is understood that the LESSEE shall coordinate with the LESSOR on the selection and installation of all cash registers. LESSEE hereby agrees to the daily monitoring of sales of its establishment by allowing the LESSOR to conduct reading of cash register tapes or submission of summary of Daily Sales Report as circumstances warrant.

Section 4

SECURITY DEPOSIT & ADVANCE RENTALS

4.1 Upon the execution of this Contract, the LESSEE shall pay the LESSOR Advance Rentals and Security Deposit in the amounts indicated in Schedule 1. The amounts due as Security Deposit and Advance Rentals are in multiples of the Rent. In cases where the Rent is increased, the LESSEE agrees to deliver to the LESSOR within forty-five (45) days from the effectivity of the increase such additional sums as may be necessary to cover the adjustments in the amount of the Security Deposit and Advance Rentals based on the new rental rate.

4.2 The Security Deposit shall not bear interest and shall stand as security for the proper and due performance of by the LESSEE of all its obligations hereunder during the subsistence of the Lease, as well as to answer for whatever damages or injury that may be caused to the Leased Premises and for water, electric and other utility charges which may remain unpaid upon the termination of this Contract. The LESSOR shall refund the balance of the Security Deposit less the allowable deductions, sixty (60) days after the date the LESSEE vacates and surrenders the Leased Premises to the LESSOR. The LESSOR shall have the option to set off the Security Deposit against any Rent or other amounts due from the LESSEE under this Contract.

4.3 The application of Advance Rentals is specified in Schedule 1 hereof.

4.4 The Security Deposit and the unused Advance Rentals shall be forfeited in favor of the LESSOR should this Contract be terminated before the Lease Expiry Date at the instance of the LESSEE for any reason whatsoever, or for reasons attributable to the fault of the LESSEE, without prejudice to the right of the LESSOR to recover any deficiency should the amount of damages suffered by the LESSOR on account of the termination this Contract exceed the Security Deposit and Advance Rentals and to such other rights or remedies that the LESSOR may have under this Contract or the law.

Section 5

MARKETING SUPPORT

5.1 The LESSEE shall support the LESSOR in all undertakings that may be be initiated by the LESSOR for the purpose of generating public awareness and increasing customer traffic within the Mall. The LESSEE shall participate in any marketing activity which the LESSOR may undertake from time to time. In addition, the LESSEE shall be required to pay monetary contribution for cooperative advertising or marketing events at such rate stated in Schedule 1 hereof ("Marketing Support Fee"), subject to adjustment as the LESSOR may deem necessary under the circumstances, upon prior notice to the LESSEE. The LESSEE undertakes to give its utmost assistance to the LESSOR for any such marketing activity.

In addition, the LESSEE shall participate in all mall-wide sale and all promotional and fundraising activities to be conducted by the LESSOR from time to time, as part of the LESSOR's marketing program.

Section 6

USE OF THE LEASED PREMISES & CONDUCT OF BUSINESS

6.1 The LESSEE agrees to conduct and carry on in the Leased Premises only such line of business as it is allowed to pursue as stated in Schedule 1 ("Usage"). The LESSEE may utilize portion of the Leased Premises for office or clerical use as may be reasonably required by the LESSEE's business operations, provided that such area shall not exceed fifteen percent (15%) of the total area of the Leased Premises.

The LESSEE shall not divert the Leased Premises to other uses or sell commodities, wares and merchandise not normally carried in the line of business indicated above without the prior written consent of the LESSOR. The list of merchandise, commodities or wares, business, services or activities allowed to be sold, rendered, or performed in the Leased Premises is specified in Schedule 1 hereof.

The LESSEE shall not use the Leased Premises for dwelling or sleeping purposes or as a storage or bodega, except for the goods and wares that the LESSEE intends to offer for sale in the Leased Premises. Neither shall the Leased Premises be used for gambling or immoral purposes and for acts prohibited by existing laws and ordinances.

In the event of breach of this provision, the LESSOR shall have the right, at its option, to (i) compel the LESSEE to cease in its unauthorized activities/purposes, without prejudice to the right of the LESSOR to impose corresponding penalties and damages on account of LESSEE's use of the Leased Premises for unauthorized purpose, or (ii) to consider the LESSEE in default and terminate this Contract in accordance with Section 17 hereof.

6.2 The LESSEE agrees to be bound by, and to faithfully abide, all rules and regulations that the LESSOR may from time to time issue relating to the conduct of business in the Mall, including, but not limited to those relating to store hours, closure of establishment, care and maintenance of the Leased Premises and adjoining areas, delivery of wares, commodities and goods to the Leased Premises, and other similar matters.

6.3 The LESSEE shall commence business operations on Lease Commencement Date as specified in Schedule 1 hereof. Payment of the Rent due under this Contract shall commence on Lease Commencement Date regardless of whether the LESSEE's business is in actual operation or not.

6.4 The LESSEE shall, at its own expense, secure all licenses and permits required by law for the operation of its business and the use of the Leased Premises and shall furnish the LESSOR copies thereof. The LESSEE shall comply, and ensure the compliance by its agents, officers and employees with, all laws, rules, regulations and ordinances relating to the conduct of its business in the Mall and the use of the Leased Premises, and shall indemnify and hold the LESSOR, its directors, officers, agents and employees free and harmless from any claim, damage or suit arising from non-compliance with all such laws, rules, regulations and ordinances.

6.5 No notice, sign, streamer, or any other advertising media shall be inscribed, painted, affixed or displayed on any portion of the Leased Premises without the prior written consent of the LESSOR. The LESSEE hereby grants the LESSOR the right to remove and/or destroy any and all such unauthorized notices, signs, streamers or other advertising media, without incurring any civil or criminal liability and without the obligation to account for such notices, signs, streamers or advertising media after their removal. The cost for removing such notices and signs may be chargeable to the LESSEE should the LESSEE fail to remove the same within five (5) days from the time it receives from the LESSOR an order to remove such notice and signs.

6.6 The LESSEE shall not place, arrange or display any merchandise, goods, or commodities beyond or outside the area of the Leased Premises, or install any structure, annex, device, attachment of whatever kind, character and nature outside of, even if protruding from, the Leased Premises. The LESSOR shall have the right to summarily remove or cause the removal or destruction of any such objects or things without incurring any liability whatsoever.

6.7 The LESSEE undertakes to have in the Leased Premises sufficient merchandise and adequate personnel to serve its patrons and customers.

6.8 The introduction or removal of any machinery, furniture, equipment or fixtures into or out of the Mall shall be done only with the prior written consent of the LESSOR and in compliance with such rules and regulations as the LESSOR may prescribe from time to time.

6.9 The LESSEE shall keep the Leased Premises in good, clean and sanitary condition, free from any obnoxious odors, disturbing noises and other nuisances. The LESSEE agrees to comply with all sanitary and safety regulations that may be imposed by any local or national government agency and by the LESSOR.

6.10 The LESSEE shall observe appropriate safety measures in the operation of its business to ensure the safety of the Leased Premises and the well-being of its employees, agents, customers, and guests. The LESSEE shall be responsible for any losses, damage or injury to any person while remaining either casually or in business in any part of the Leased Premises and further binds himself to hold the LESSOR free and harmless from any claims for losses, damage to property or injury to persons arising from or as a consequence of the use of the Leased Premises by the LESSEE, its agents, employees, customers, or guests, or occasioned by theft, robbery and other crimes committed inside the Leased Premises.

6.11 Except for cooking materials, supplies and equipment which are necessary to, or part of the operations of the LESSEE's business, the LESS EE shall not bring or store in the Leased Premises and in the Mall premises any inflammable or explosive goods or articles which may expose the Leased Premises and the Mall to fire or increase the fire hazards. The LESSEE shall be responsible for any damage that the LESSOR may suffer on account of violation of this provision, including the increase in the insurance premium for the Mall.

6.12 The LESSEE shall maintain and operate its business for the entire term of this Lease, including renewal or extensions extensions thereof, with due diligence and efficiency so as to produce the maximum gross sales possible.

6.13 The LESSEE shall not do, or consent to, or expressly or impliedly allow or tolerate the doing of, any acts which will damage or prejudice the business, reputation, goodwill and interest of the LESSOR.



Section 7

FIT-OUT CONSTRUCTION REQUIREMENTS

7.1 The LESSEE shall submit the business design concept and technical requirements of the Leased Premises within such period required by the LESSOR.

7.2 The LESSEE shall submit the fit-out construction plans for the proposed installations, improvements, lighting fixtures, floor covering and other installations, required by the nature and purpose of its business in accordance with the construction and/or renovation guidelines by the LESSOR.

7.3 The LESSEE shall submit to the LESSOR the fit-out plans for the proposed business sign(s), specifying size, color, design, placement on the Leased Premises, and technical and electrical requirements of such signage for written approval by the LESSOR. The LESSEE shall install and maintain its business signs at the place designated by the LESSOR and at its own expense.

7.4 The LESSEE must make a declaration of its maximum electrical load and enumerate thereat, in the checklist provided by the LESSOR, the electrical fixtures, appliances, equipment, facilities, etc. The LESSEE shall use only duly licensed electricians who must ensure that the additional load current will be within the capacity of the main switch of the panel on the corresponding floor.

7.5 The LESSEE shall also be responsible for securing all necessary building and construction permits and licenses from appropriate agencies.

7.6 Prior to commencement of construction in the Leased Premises, the LESSEE shall submit a Construction Bond in the amount specified in Schedule 1 hereof ("Construction Bond") as a security for the LESSEE's compliance with the LESSOR's construction and renovation guidelines and requirements and to answer for the utility and service charges which may be incurred during construction period such as but not limited to electrical consumption, water, security, garbage disposal, and other services as may be provided by LESSOR during the construction period. After the completion of the construction, the Construction Bond shall be returned to the LESSEE within thirty (30) days from completion of construction less any charges or cost of damage or injury caused to the Leased Premises, properties or persons during the construction period.

7.7 From and after Turn-Over Date, provided that LESSOR's written approval of the fit-out construction plans had been obtained, a building permit has been issued by the relevant local government unit and the Construction Bond is paid, the LESSEE may, at its own expense, commence installation and maintenance of said installations and improvements required by its business, provided the strength and general structure of the Building or the Leased Premises are not thereby altered or otherwise adversely affected and, provided further, that the other conditions of this Contract are not thereby violated.

7.8 The actual cost of the utilities consumed by the LESSEE and fees for water, security, garbage disposal and other services provided by the LESSOR, if any, during the construction period shall be deducted from the Construction Bond. The amount for security, garbage disposal, and other related services shall be charged on the basis of the actual cost incurred by the LESSOR, pro-rated according to the area occupied by the LESSEE and the actual number of days of consumed for the completion of the construction of the Leased Premises.

Should the total cost of utilities and construction related services exceed the amount of the Construction Bond, the LESSEE shall pay the deficiency within five (5) days from receipt of notice from the LESSOR, otherwise, the LESSOR shall have the option to deduct the amount of the deficiency from the Security Deposit paid by LESSEE under Section 4.1 hereof.

7.9 The LESSEE shall comply with any and all reasonable supplementary rules and regulations set down by the LESSOR and those which may hereafter be promulgated from time to time by the LESSOR, and with all the laws, ordinances, rules and regulations, promulgated by the duly constituted authorities of the national and/or local authorities of the government in connection with the construction of the Leased Premises or a portion thereof, at its own account and expense. Any violation of these provisions an account of the LESSEE's willful fault or gross negligence shall make the LESSEE liable to the LESSOR for damages arising therefrom.

7.10 Any changes or revisions to the approved construction plans or to the installation of additional plumbing, electrical appliances/equipment, telephone and teletype in the Leased Premises shall be for the account and expense of the LESSEE. Any such changes or revisions shall be implemented only after submitting the revised construction plans and electrical load declaration to the LESSOR and after obtaining the written consent and approval of the LESSOR, which consent and approval shall not be unreasonably withheld, conditioned or delayed, provided that, such installation(s) should not deface, adversely affect, or cause damage to the strength and general structure of the building or the Leased Premises and, provided further, that the other conditions of this Contract are not hereby violated.

Section 8

ALTERATIONS AND IMPROVEMENTS

8.1 The LESSEE shall not make any alterations, additions, or improvements in or upon the Leased Premises, or install any trade fixtures, signs, floor coverings, and lighting and plumbing fixtures without the prior written consent of the LESSOR. All building, architectural, engineering, conceptual plans and specifications for any alteration, addition or improvement shall be submitted to the LESSOR for its approval prior to the commencement of any work. Any and all expenses which may be incurred by the LESSEE in connection with such alteration, addition, improvement or installation shall be for the exclusive account of the LESSEE.

The LESSOR reserves the right to disapprove any proposed alterations, additions, improvements, or installations requested by the LESSEE, if in the LESSOR's opinion there is sufficient and/or reasonable basis to warrant such disapproval.

8.2 Any such alterations, additions, improvements, fixtures and furniture placed in the Leased Premises at the expense of the LESSEE, except movables, shall remain with the Leased Premises and shall become the property of the LESSOR without obligation to reimburse the cost thereof to the LESSEE. However, the LESSOR shall have the sole option to require the LESSEE to remove all permanent improvements introduced by the LESSEE upon the Leased Premises at exclusive expense of the LESSEE and the LESSEE shall restore the Leased Premises to its condition when delivered. In the event the LESSEE fails to remove the improvements and make the necessary repairs on the Leased Premises, the LESSOR may itself cause such removal and repairs and charge the cost thereof against the Security Deposit, with a right to recover from the LESSEE any deficiency.

Section 9

REPAIR AND MAINTENANCE

9.1 The LESSEE acknowledges that the Leased Premises is in good and tenantable condition and agrees to keep the same in such good and tenantable condition. The LESSEE agrees to undertake, at its exclusive expense, ordinary and necessary repairs to maintain the Leased Premises in good and tenantable condition.

9.2 The LESSOR shall have the right to make repairs or to undertake works for the preservation, conservation and maintenance of the Mall at any time, subject to a prior written notice of the schedule of such repairs or works to the LESSEE. The LESSOR shall not be liable for any inconveniences, annoyance or injury that the LESSEE, its employees, agents, guests or customers may suffer during and occasioned by such repairs or works.

9.3 If the Leased Premises is damaged by fire, earthquake or any other fortuitous events rendering the whole or a substantial part of the Leased Premises unfit for use, the LESSOR shall have the option to (i) declare this Contract terminated and reimburse the LESSEE for whatever outstanding Security Deposit and Advance Rentals may be due to the LESSEE, or (ii) reconstruct the Leased Premises at the LESSOR's expense, in which case, this Contract shall remain in full force and effect, subject to the provisions of Section 2.6 hereof.

If the Leased Premises is damaged due to the fault of the LESSEE, without fault on the part of the LESSOR, the LESSOR shall have right and sole option to (i) require the LESSEE to repair the Leased Premises at its expense, or the LESSOR may repair the Leased Premises at the expense of the LESSEE, and the LESSEE shall continue to pay the Rent and all other amounts due under this Contract; or (ii) immediately terminate this Contract by serving a prior written notice tothe LESSEE and to avail of its rights and remedies provided under Section 17 hereof.

9.4 The LESSEE shall, at its own expense, take all such steps and precautions to prevent the Leased Premises from becoming infested with termites, rats, mice, cockroaches or any other pests or vermin. For this purpose, the LESSEE agrees to utilize the pest-control services provided for by the LESSOR. The LESSOR shall bill the LESSEE for its share in the pest-control services at the rate specified in Schedule 1 ("Pest Control").

Section 10

UTILITIES AND COMMON AREAS

10.1 All charges for water consumption, electricity, telephone and other utility services in the Leased Premises, as well as the repairs in the utility system shall be for the exclusive account of the LESSEE. The LESSOR shall bill the LESSEE for utility charges every 25th day of the month immediately following the month the utilities have been used and the LESSEE shall pay such bill on the 5th of the following month. The LESSOR shall have the right to stop the provision of utility services to the Leased Premises should the LESSEE fail to pay its utility bills or if the LESSEE remains in default of its obligation to pay the Rent or any amount payable under this Contract five (5) days after its receipt of a notice of default from the LESSOR.

10.2 The term "Common Areas" mean all the areas and facilities in the Mall that are provided and designated by the LESSOR for the general use and convenience of the public and all the tenants of the Mall, their respective officers, employees, agents, customers and guests. The Common Areas include pedestrian malls, sidewalks, comfort rooms and the like, which are installed at the expense of LESSOR.

10.3. Subject to the rights, powers and privileges reserved to the LESSOR, the LESSOR hereby grants to LESSEE, during the term of this Contract, the right to use the Common Areas for the benefit of the LESSEE and the LESSEE's officers, employees, agents, customers and guests in common with others entitled to such use.

10.4 During the term of this Contract, the LESSOR shall operate, manage and maintain the Common Areas within the Mall. The manner in which the Common Areas shall be maintained, and the expenditures for such maintenance, shall be at the sole discretion of LESSOR, which shall include, but not limited to, the right to close permanently, if necessary, all or any portion of the common Areas, to such extent as may be legally sufficient in the opinion of the LESSOR to prevent accrual of the right of any person or of the public therein, or to close temporarily all or any portion of the Common Areas.

10.5 It is understood that the LESSEE's privilege to use the Common Areas is not exclusive. This privilege is not an integral part of this Contract and may be restricted or regulated at any time by the LESSOR at its sole discretion.

Except if the LESSEE is in default pursuant to the terms of this Contract, any temporary interruption in the facilities or services abovementioned shall not be deemed as an eviction of the LESSEE, nor shall itrelieve the LESSEE of any obligation under this Contract including the payment of Rent, or subject the LESSOR to any liability arising therefrom.

However, the LESSOR shall use its best efforts to restore promptly the facilities and services to their functions.

Section 11

INSPECTION OF THE LEASED PREMISES

11.1 The LESSEE shall allow the LESSOR or its authorized representatives to inspect the Leased Premises at any reasonable hour of the day for any and all reasons provided in the Contract; provided, that during the last thirty (30) days of the period of this Lease, the LESSEE shall allow the LESSOR or its representatives to show the Leased Premises to prospective tenants upon prior notice and appointment.

11.2 The LESSEE hereby waives the requirement of prior notice and appointment in cases of fire, emergencies, calamities, or reasonable suspicion of theft, robbery, or other crimes or felonies occurring in the Leased Premises, or in case of any immediate danger to person or property therein, in which case, the LESSOR, its agents, employees or servants are deemed authorized to enter, in any manner, the Leased Premises.

Section 12

SUBLEASE AND TRANSFER OF RIGHTS

12.1 The LESSEE shall not directly or indirectly sublease, assign, sell, transfer, convey, mortgage or encumber its rights, interest and obligations under this Contract or to the Leased Premises, in whole or in part, without the prior written consent of the LESSOR. Any violation, directly or indirectly, of this prohibition shall automatically terminate this Contract from the time such violation occurs, without prejudice to the right of the LESSOR to forfeit the LESSEE's Security Deposit and Advance Rentals.

12.2 The grant to LESSEE of the physical possession, use and enjoyment of the Leased Premises confers no goodwill or patronage rights over the Leased Premises to the LESSEE, it being recognized that such rights belong exclusively to the LESSOR as the owner of the Leased Premises. Neither shall the LESSEE have any right to sell or dispose of said goodwill or patronage rights to any person.

Section 13

INSURANCE

13.1 The LESSEE shall secure, at its expense, and during the entire term of this Contract, an insurance coverage over its leasehold rights and properties against fire, typhoon, flood, earthquake, lightning, and other allied perils including adequate public utilities insurance, with reputable insurance companies, designating both the LESSEE and the LESSOR as the joint beneficiary. It is hereby further understood that the LESSEE's insurance coverage shall not include or extend to the physical structure of the Leased Premises and to such other terms not included in the above enumeration.

13.2 The LESSEE must submit to the LESSOR a list of items covered by the insurance to be procured for purposes of reference and guidance on the part of the LESSOR and it is hereby agreed that the LESSEE shall not take insurance over its properties in an amount more than the cost or value of the insured items. The LESSEE shall deliver to the LESSOR copies of the insurance policy/ies procured within thirty (30) days from the date of turn-over of the Leased Premises to the LESSEE.

13.3 The LESSOR shall not be liable for any damages or violations attributable to the LESSEE, its agents, employees, representatives, customers, or guests on the Leased Premises in so far as this provision on insurance is concerned.

Section 14

DEPOSITORY ACCOUNT

14.1 The LESSEE shall be required to open and maintain an account with the branch of AllBank, Inc. (formerly, Optimum Development Bank, Inc.) located in the Mall, which account shall be used as depository and settlement account for all transactions between the LESSOR and the LESSEE related to the operation of the LESSEE's business in the Leased Premises.

Section 15

RETURN OF LEASED PREMISES

15.1 This Contract shall automatically expire or terminate at the Lease Expiry Date, or in case of renewal or extension, at the expiration of the renewed or extended term.

15.2 At twelve o'clock midnight of the termination or expiration date of the term of this Contract or of its renewal or extension, the LESSEE shall peacefully and voluntarily vacate the Leased Premises and deliver possession thereof to the LESSOR, in as good, clean, and tenantable condition as at the time of its delivery to the LESSEE, ordinary wear and tear excepted, devoid of all occupants, tenants, articles, merchandise. All improvements, alterations, additions and fixtures introduced or attached by the LESSEE in or about the Leased Premises, at the expense of the LESSEE, except movables, shall remain with the Leased Premises and shall become the property of the LESSOR without obligation to reimburse the cost thereof to the LESSEE. However, the LESSOR shall have the sole option to require the LESSEE to remove all permanent improvements introduced by the LESSEE upon the Leased Premises at the exclusive expense of the LESSEE and the LESSEE shall restore the Leased Premises to its condition when delivered. In the event the LESSEE fails to remove the improvements and make the necessary repairs on the Leased Premises, the LESSOR may itself cause such removal and repairs and charge the cost thereof against the Security Deposit, with a right to recover from the LESSEE any deficiency.



15.3 Should the LESSEE fail to peacefully and properly vacate the Leased Premises upon the termination or expiration of the lease period, the LESSOR shall have the right to avail of all the rights and powers conferred upon it pursuant to the provisions of this Contract. Furthermore, the LESSOR, its agents or representatives are hereby expressly authorized to take physical possession of the Leased Premises in the presence of a Notary Public and/or barangay official and to take inventory of LESSEE's personal properties found therein and deposit them elsewhere for storage at LESSEE's expense so that LESSOR may be able to use or release the premises expeditiously.

15.4 If upon expiration or early termination of this Contract, the LESSEE shall persist in its possession over the Leased Premises without justification, the LESSEE shall pay, in addition to any rights herein granted to LESSOR, by way of damages an amount equivalent to the Rent prevailing at the expiration or early termination with an increase of one hundred percent (100%) thereof for the period of said unlawful occupation, without prejudice to the right of the LESSOR to exercise all remedies available to it under this Contract and the law.

Section 16

EXPROPRIATION

16.1 In the event that expropriation proceedings are instituted during the term of this Contract by any instrumentality of the government or by any other entity with authority to exercise such power, and as a result thereof, the Leased Premises may no longer be used for the purpose set forth in Section 6 hereof, either party may extra-judicially rescind this Contract by giving the other party at least fifteen (15) days prior written notice.

16.2 In case of such expropriation, the LESSEE hereby unconditionally relieves and releases the LESSOR from any and all liability under this Contract in connection with or arising out of such expropriation proceedings without prejudice to whatever recourse LESSEE may have against the expropriating entity on account of damage done or caused to LESSEE on its properties.

Section 17

DEFAULT

17.1 The LESSEE shall be in default in the event that/of: (i) the LESSEE fails to pay the Rent and/or any other amount due under this Contract, and such default continues for a period of five (5) days after notice or demand from the LESSOR; (ii) the LESSEE violates any of the terms and conditions of this Contract and said violation shall continue for a period of five (5) days after notice; (iii) the LESSEE shall file a suspension for payment or receivership or becomes insolvent or is unable to pay its debts when due or shall commit or permit any act of bankruptcy under thea pplicable law; (iv) any closure or non-operation of the Leased Premises for any reason whatsoever for a period of five (5) consecutive days without the prior written approval of the LESSOR, or if the Leased Premises be closed for a period of five (5) consecutive days without any overseer and without previous notice to the LESSOR; (v) usage of the Leased Premises for purpose other than what was stated or allowed under this Contract without the prior written consent of the LESSOR, or usage of the Leased Premises for dwelling, gambling or immoral purposes and for acts which are and will be dangerous to life, limb or property and/or prohibited by existing laws and ordinances, unless the LESSOR opted to exercise its remedy under Section 6.1(i) hereof; or (vi) the Leased Premises is damaged due to thefault of the LESSEE, without fault on the part of the LESSOR LESSOR in accordance with Section 9.3 hereof.

17.2 In case of the occurrence of any of the events of default under Section 17.1, the LESSOR shall have the right to rescind this Contract without need of judicial action and to forfeit the Security Deposit and, if applicable, the Advance Rentals. Upon receipt of notice of rescission or termination, the LESSEE shall peaceably return and surrender the Leased Premises to the LESSOR in accordance with Section 15 and to settle all its outstanding obligations to the LESSOR.

17.3 If after the lapse of five (5) days from receipt of LESSOR's notice of termination or cancellation of this Contract for any of the reasons stated in Section 17.1 hereof, and the LESSEE still fails to comply with LESSOR's demand for the return of the possession of the Leased Premises and the payment of the LESSEE's accrued obligations pursuant to the provisions of this Contract, the LESSOR and/or its authorized representative is hereby empowered to immediately enter, occupy, secure, fence and/or discontinue public utilities and otherwise take full and complete physical possession and control of the Leased Premises without resorting to court action; to take inventory and possession of whatever equipment, furniture, articles, merchandise or appliances that may be found therein as security for the payment of LESSEE's obligations under this Contract; and to place them in any warehouse for safekeeping, charging to LESSEE the corresponding storage fees. For the purpose of liquidating any liability the LESSEE may have to the LESSOR, the LESSOR may, within thirty (30) days from date LESSOR takes possession of the Leased Premises or of LESSEE's personal properties, dispose of said properties in a public sale and apply the proceeds thereof to whatever liability and/or indebtedness LESSEE may have to LESSOR, plus reasonable expenses for the public sale including storage fees, and the balance, if any, shall be turned over to LESSEE.

In addition, the LESSOR is hereby expressly authorized to lease out the the Leased Premises to any other persons or entities.

17.4 If the LESSEE is duly authorized by the LESSOR to sub-lease the Leased Premises, the LESSOR shall have the option to directly collect payment from the LESSOR's sub-lessees in order to cover the LESSEE's obligations to the LESSOR.

Should the LESSOR decide to exercise its rights under Paragraph 16.2 and the LESSEE's sublessees files a complaint or suit against the LESSOR by reason thereof, the LESSEE shall hold the LESSOR free and harmless against any liabilities and judgments in favor of its sub-lessees and the LESSEE shall indemnify the LESSOR for whatever damages or expenses it may incur by reason of such complaints or suits.

17.5 The remedies provided in this Contract shall be considered as cumulative and not exclusive. The LESSOR shall be entitled to pursue either the rights enumerated in this Contract or the remedies authorized by law, or both.

17.6 For purposes of the foregoing provisions and other related provisions in this Contract, the LESSEE hereby constitutes LESSOR and its authorized representatives as LESSEE's attorney-in-fact and all acts performed by them in the exercise of their authority are hereby confirmed and ratified. The LESSEE hereby expressly agrees that any and all acts performed by LESSOR, its authorized agents, employees and/or representatives under the provisions hereof may not be the subject of any petition for Writ of Preliminary Injunction or Mandatory Injunction in any court or administrative agency.

Section 18

GENERAL PROVISIONS

18.1 Non-waiver - The failure of the LESSOR to insist in any one or more instances upon a strict performance of any of the terms, provisions, conditions and covenants of this Contract or to exercise any option herein contained shall not be deemed a relinquishment or waiver of any rights or remedy that the LESSOR may have, nor shall it be construed as a condonation of any subsequent breach or default of the terms and conditions and covenants hereof, which conditions and covenants shall continue to be in full force and effect. No waiver by LESSOR of any of its rights under this Contract shall be deemed to have been made unless expressed in writing and signed by the duly authorized representative of the LESSOR.

18.2 Separability Clause - The parties agree that should any clause or provision in this Contract be declared void, invalid or ineffective for any reason whatsoever, the validity of the remaining provisions shall not be affected and shall continue to be binding.

18.3 Assignment - The LESSOR shall have the right to assign its rights, title and interest under this Contract to any of its affiliate or subsidiaries, provided that the terms and conditions this Contract shall be honored by the LESSOR's assignee and shall remain valid and subsisting.

18.4 Caption - The captions appearing in this Contract are for purpose of convenience only and are not part of this Contract and do not in any way limit or amplify the terms and provisions of this Contract.

18.5 Entire Agreement - This Contract, including the attached Annexes, and such house rules and regulations that the LESSOR may promulgate from time to time, embodies the entire agreement of the parties hereto. This Contract shall supersede all previous communications, representations or agreements, either oral or written, between the parties. No amendments to this Contract shall be valid unless the same are reduced to writing and signed by the parties.







18.6 Venue of Actions - All disputes, suits and/or causes of action arising out of or in connection with this Contract shall be settled and/or litigated in the proper courts where the LESSOR's principal office is located or to the city or municipality where the Mall is located, to the exclusion of all other courts.

Should the LESSOR be compelled to engage the services of a counsel or to litigate in order to enforce its rights under this Contract, the LESSOR shall be entitled to an amount equivalent to twenty five percent (25%) of the total amount claimed, which in no case shall be less than Pesos: Twenty Thousand (PhP20,000.00).

LESSOR

Brittany Corporation

By:

Reymart Rodger M. Nerizon
Chief Accountant

LESSEE

Mary Grace Foods Inc.

By:

Adrian Dimacali
Director

Dexter Perdon
Mall Head

SIGNED IN THE PRESENCE OF:

CHRISTINE JOY B. ACIBAR

ACKNOWLEDGMENT

Republic of the Philippines} S. S.
_____}

Before me, this ____ day of_____, 2026

Name	Valid Identification	Date of Issue/Expiry
Adrian Dimacali	P7271334A (Passport No.)	05/22/2018 05/21/2028
Dexter Perdon	410-111-842-000 (TIN ID)	
Reymart Rodger M. Nerizon	135443 (PRC ID)	

known to me and to me known to be the same persons who executed the foregoing CONTRACT OF LEASE and they acknowledge to me that the same is their free and voluntary act and deed as well as that of the corporation herein represented. The foregoing instrument (including the annex attached) consists of nine (9) pages, including this page.

IN WITNESS WHEREOF, I have hereunto signed and sealed these presents at the place and on the date above written.

NOTARY PUBLIC

Doc. No. _____;
Page No. _____;
Book No. _____;
Series of _____.

SCHEDULE 1

TERMS OF LEASE

LESSEE	Mary Grace Foods Inc.
STORE NAME	Cafe Mary Grace
PROJECT	Evia Lifestyle Center
LEASED PREMISES	350.79 square meter (GFL-0091)
TERM	Sixty (60) months
USAGE	Food-Coffee Shop / Tea Shop
ITEMS ALLOWED FOR SALE/DISPLAY	Baked Goods, Pasta, Hot Meals, and Drinks only.
AMOUNT OF RENT	5.00% of Gross Sales + PhP 700.00/sqm/month or PhP 1,000/sqm/month; whichever is higher. The monthly Fixed Rental is exclusive of Value Added Tax (VAT) or any similar tax which may be imposed by the government in the Lease.
ESCALATION RATE	Seven percent (7%) starting on year 3
CUSA CHARGES	PhP 160.00 /sqm/month (VAT EXCLUSIVE)
AIRCON CHARGES	PhP 160.00 /sqm/month (VAT EXCLUSIVE)
PEST CONTROL	PhP 20.00 /sqm/month (VAT EXCLUSIVE)
BIO AUGMENTATION	Applicable to tenants with grease traps.
EXHAUST CLEANING CHARGES	Applicable to tenants with kitchen exhaust.
ELECTRICITY/WATER CHARGES	To be billed based on consumption.
MARKETING SUPPORT FEE	PhP 10.00 /sqm/month (VAT EXCLUSIVE)
SECURITY DEPOSIT	PhP 1,403,160.00 (NON VAT) or four month/s worth of rent. Refundable upon end of COL/Agreement.
ADVANCE RENTAL	PhP 1,571,539.20 (VAT INCLUSIVE) or four month/s worth of rent. Applicable on the first and last two month/s of the lease period.
CONSTRUCTION BOND	PhP 350,790.00 (NON VAT)
TURN OVER DATE	April 21, 2025
LEASE COMMENCEMENT DATE	December 21, 2025 or first day of operations whichever comes first
LEASE EXPIRY DATE	December 20, 2030

Conforme:

LESSEE

Mary Grace Foods Inc.

By:

Adrian Dimacali
Director
Date: 29 Apr. '26

ANNEX A

Rent Escalation

Year	Rent Escalation
1	5% of Gross Sales + PhP 700.00/sqm/month or PhP 1,000/sqm/month; whichever is higher.
2	5% of Gross Sales + PhP 700.00/sqm/month or PhP 1,000/sqm/month; whichever is higher.
3	5% of Gross Sales + PhP 749.00/sqm/month or PhP 1,070/sqm/month; whichever is higher.
4	5% of Gross Sales + PhP 801.43/sqm/month or PhP 1,144.90/sqm/month; whichever is higher.
5	5% of Gross Sales + PhP 857.53/sqm/month or PhP 1,225.04/sqm/month; whichever is higher.